Copart

Equity valuation. 5 August 2026 close. Aadi Joshi.

Reference price	Base DCF value	Base upside / (downside)
$28.91	**$24.48**	**-15.3%**

Valuation view

The base DCF supports $24.48 per share against the $28.91 reference price, a 15.3% shortfall. Higher insurer volumes and fees support revenue growth, but maintaining yard capacity limits distributable cash. The upside operating case reaches $30.59. The base terminal value implies 9.00x final-year EBITDA.

Operating case

FY2025 service revenue was $3.97 billion and owned-vehicle sales were $678.3 million. The forecast separates the fee business from gross vehicle sales because their margins differ. Insurance companies supplied 81% of processed vehicles; the model uses that count share as a proxy for allocating U.S. service revenue. Seller-type revenue and absolute annual vehicle counts are not disclosed. [1]

FY2026 is estimated from nine-month results plus a fourth-quarter case. It produces $4.67 billion of revenue but receives zero future cash-flow PV because the fiscal year ended on 31 July, before the valuation date. Future value uses the remaining FY2027 period and FY2028-FY2030. Nine-month April revenue and EBIT were $3.51 billion and $1.28 billion. [2]

The base reaches $5.92 billion of revenue and 38.1% EBIT margin by FY2030. U.S. insurer volume growth slows from 4.5% to 3.3% and fee growth from 2.6% to 2.0%. Facility costs improve modestly to 48.5% of service revenue and G&A to 8.5% of total revenue. Throughput and cost absorption must improve while service quality and insurer relationships hold.

Scenario	Value / share	Difference to reference
Downside	$20.28	-29.9%
Base	$24.48	-15.3%
Upside	$30.59	5.8%
Equivalent multiple	$24.48	-15.3%

Scenario values change operating and terminal assumptions. They are model comparisons, not probability estimates. The equivalent multiple reconciles the base terminal assumptions.

Cash generation and investment

Base CapEx remains at least 10% of revenue, reaching $592.13 million in FY2030. FY2025 PP&E purchases were $568.99 million, approximately 12.2% of revenue. The forecast continues to fund land, yards and operating capacity and deducts all projected spending. Forecast acquisitions are zero, so the revenue case assumes organic growth. [1]

Final-year FCFF is $1,449.22 million and normalized terminal FCFF is $1,490.15 million at 2.75% growth. The terminal retains the final investment ratio and normalizes working-capital additions. Terminal value contributes 79.3% of EV; the four-year forward horizon makes long-run capital efficiency particularly consequential.

Valuation risks

Copart. USD millions except per-share data. Forecast values derive from the accompanying workbook.

Required return

WACC is 9.32%. Beta of 1.11 is an explicit analyst assumption about systematic risk, not a reproduced provider quote or regression. The 4.63% Treasury rate is dated 5 August; 4.23% ERP is the selected 2025 estimate published in January. Estimated finance debt has an immaterial weight. Its 6.38% borrowing cost is an indicative spread assumption. [3, 4]

Sensitivity

Independent change	Value / share
WACC -1.00 percentage point	$28.39
Base	$24.48
WACC +1.00 percentage point	$21.60
Terminal growth -0.50 percentage point	$23.20
Terminal growth +0.50 percentage point	$25.97

The reference price exceeds the base value and lies near the upside operating case. The equivalent 9.00x EBITDA multiple reproduces $24.48 per share. Salvage demand, insurer contracts and new land requirements can weaken volume or margin. A lower required return raises the base value.

The cash policy is conservative and does not certify each dollar's legal availability. Foreign cash is earmarked within the existing reserve, avoiding a second deduction. The finance lease estimate assumes no undisclosed additions, remeasurements or exchange-rate changes after the last separately disclosed balance.

Equity bridge and disclosure limits

The cash proxy includes $3,513.16 million of disclosed equivalents and Treasury securities. It excludes $686.55 million whose cash/restricted-cash split is unclassified and retains a $701.01 million reserve. The bridge deducts a $17.181 million minority claim and $2.694 million estimated finance lease claim. The 932.288482 million diluted denominator combines the May basic count with latest award dilution. [1, 2]

All three models discount at fiscal year-end using actual days / 365. The first future period is prorated by remaining fiscal days. This approximates evenly timed cash generation; seasonal spending can change the remaining-period cash flow. Market inputs and company disclosures are kept at or before the stated cutoff.

Sources

[1] Copart, FY2025 Form 10-K, 25 September 2025. Financial statements, insurer mix and capital spending.

[2] Copart, Q3 FY2026 Form 10-Q, 29 May 2026. Nine-month statements, cash, shares and minority interest.

[3] U.S. Treasury, daily par yield curve, 5 August 2026, 10-year rate.

[4] Aswath Damodaran, historical implied U.S. ERP, 2025 endpoint, January 2026 dataset.

[5] Yahoo Finance, CPRT historical prices, 5 August 2026 close.